

Day 9 Internship Notes

Date: 10-06-2026

Work Start time

9:00am

Today's Objective

- Liquidity
- External Liquidity
- Internal Liquidity
- Previous Day High (PDH)
- Stop Loss Hunting
- DeepVue Heatmap

Topics learned Today:

Topic 1: Liquidity:

Today I gained a deeper understanding of Liquidity and its role in financial markets. Liquidity refers to the availability of buyers and sellers in the market and the collection of pending orders waiting to be executed. These orders include buy orders, sell orders, stop-loss orders, and limit orders placed by traders and investors.

I learned that liquidity is often considered the "fuel" of the market because every price movement requires transactions between buyers and sellers. Without sufficient liquidity, markets would struggle to move efficiently, and large orders could cause significant price fluctuations.

Liquidity is important for both retail and institutional traders. Highly liquid markets allow participants to enter and exit positions quickly with minimal impact on price. Markets with low liquidity may experience larger price swings, wider spreads, and slower order execution.

Understanding where liquidity exists helps traders identify areas where price may react strongly. Many professional traders monitor liquidity zones because these areas often attract market activity and can provide valuable information about future price movements.

Topic 2: External Liquidity:

Today I learned about External Liquidity, which refers to liquidity located outside major market structure points. These are areas where a large number of pending orders and stop-losses tend to accumulate.

Common examples of external liquidity include:

- Previous Day High (PDH)
- Previous Day Low (PDL)
- Swing Highs
- Swing Lows

Many traders place stop-loss orders beyond these levels because they are considered important support and resistance areas. As a result, large pools of liquidity develop around these locations.

I learned that price frequently moves toward external liquidity zones before continuing in its intended direction. When price reaches these levels, pending orders become activated, creating increased market participation and volatility.

Understanding external liquidity helps traders recognize why price is often attracted to significant highs and lows and why strong reactions frequently occur near these levels.

Topic 3: Previous Day High (PDH):

The Previous Day High (PDH) is one of the most important external liquidity levels in the market. It represents the highest price reached during the previous trading session and is closely monitored by many traders.

I learned that a large number of stop-loss orders and breakout orders often accumulate above the Previous Day High. When price approaches this level, traders frequently expect a bullish breakout and may enter buy positions.

However, price does not always continue higher after breaking the PDH. Sometimes the market briefly moves above the level, activates pending orders, and then reverses direction. This behavior demonstrates why traders should avoid assuming that every breakout will lead to a sustained trend.

The Previous Day High serves as an important reference point because it often attracts market activity and can provide clues about market sentiment, momentum, and potential liquidity collection.

Topic 4: Internal Liquidity:

In addition to external liquidity, I learned about Internal Liquidity. Internal liquidity exists within the current market structure rather than at major highs or lows.

Examples of internal liquidity include:

- Support and Resistance Levels
- Trendlines
- Consolidation Zones
- Chart Patterns
- Range Bound Markets

These areas often contain pending orders from traders reacting to visible chart structures.

I learned that internal liquidity plays an important role in short-term price movement. Because many traders focus on the same support, resistance, and trendline levels, significant order activity can develop around these areas.

Understanding internal liquidity helps explain why price frequently reacts, consolidates, or reverses near common technical analysis levels. It also improves a trader's ability to identify areas where market participation is likely to increase.

Topic 5: Stop Loss Hunting:

Today I learned about Stop Loss Hunting and how stop-loss orders influence market behavior.

Stop-loss hunting occurs when price moves into areas where a large number of stop-loss orders are concentrated. Common locations include:

- Above Swing Highs
- Below Swing Lows
- Above Resistance Levels
- Below Support Levels

When these stop-loss orders are triggered, they become market orders and increase liquidity in the market.

I learned that stop-loss hunting often creates sudden price spikes and increased volatility. Traders who are unaware of these liquidity zones may mistakenly enter trades after a sharp move, only to see the market reverse shortly afterward.

Understanding stop-loss hunting helps traders become more aware of where other market participants are likely placing their orders. This knowledge can improve risk

management and reduce the likelihood of being caught in false breakouts or sudden market reversals.

Topic 6: DeepVue Heatmap:

Today I explored the DeepVue Heatmap feature and learned how it helps traders analyze the overall market quickly and efficiently.

The Heatmap organizes stocks into sectors and industries and uses color coding to display performance. This allows traders to understand market conditions at a glance without manually reviewing hundreds of individual stocks.

The color system is simple:

- Green indicates positive price performance.
- Red indicates negative price performance.
- Darker shades generally indicate stronger movement.

Using the Heatmap, traders can quickly identify:

- Strong sectors
- Weak sectors
- Market leaders
- Sector rotation
- Stocks receiving increased attention

During my practice session, I observed sectors such as Information Technology, Health Care, Financials, Industrials, Consumer Discretionary, and Energy. The visual layout made it easy to compare performance across different industries and identify which sectors were outperforming the market.

The Heatmap demonstrated how professional traders can quickly assess market sentiment and focus their attention on areas showing the strongest relative performance.

Practical Learning



DeepVue Practice – Heatmap

During today's practical session, I explored the Heatmap feature available in DeepVue and learned how traders use it to analyze market performance across multiple sectors and industries. The Heatmap displayed stocks using a color-coded layout, making it easy to identify strong-performing and weak-performing areas of the market.

I observed that stocks with positive performance were highlighted in green, while stocks with negative performance appeared in red. This visual representation allowed me to quickly determine which sectors were leading the market and which sectors were experiencing weakness.

I also examined how stocks were grouped by industry categories, enabling traders to identify sector strength and possible institutional money flow. Instead of analyzing individual charts one by one, the Heatmap provided a broad overview of market conditions within a single dashboard.

This practice demonstrated how professional traders use Heatmaps to identify market leaders, monitor sector rotation, discover emerging opportunities, and improve stock selection efficiency.

Questions I Had and Answers I got :

Q1. What is the difference between Internal Liquidity and External Liquidity?

Internal Liquidity exists within the current market structure and is commonly found around support and resistance levels, trendlines, consolidation zones, and chart patterns. External Liquidity exists outside major market structure points such as Previous Day Highs, Previous Day Lows, Swing Highs, and Swing Lows.

Both types of liquidity contain pending orders that can influence price movement. Understanding these liquidity zones helps traders identify areas where price may react, reverse, or accelerate.

Q2. Why are Previous Day High (PDH) and Previous Day Low (PDL) important?

The Previous Day High and Previous Day Low are important because many traders place stop-loss orders, breakout orders, and pending orders around these levels. As a result, they become significant liquidity zones that often attract price movement.

Traders monitor PDH and PDL because they frequently provide information about market sentiment, momentum, and potential trading opportunities.

Q3. How does the DeepVue Heatmap help traders?

The DeepVue Heatmap helps traders quickly identify strong and weak sectors through a color-coded visualization of market performance. It allows traders to monitor market sentiment, identify sector leaders, observe sector rotation, and discover potential opportunities without manually analyzing hundreds of stocks.

This improves efficiency and helps traders focus on the most relevant areas of the market.

Key Takeaway

- Liquidity acts as the fuel that drives market movement.
- External Liquidity exists around major highs and lows.
- Internal Liquidity exists within market structure.
- Previous Day High and Previous Day Low are important liquidity zones.
- Stop-loss hunting can create temporary volatility and strong price reactions.
- Heatmaps provide a fast and efficient method of analyzing sector performance.
- Understanding liquidity improves market awareness and decision-making.

Conclusion

Day 9 focused on developing a deeper understanding of liquidity and its influence on market behavior. I learned how liquidity is distributed throughout the market, how external and internal liquidity differ, why Previous Day Highs and Lows attract market attention, and how stop-loss hunting can impact price movement. I also explored the DeepVue Heatmap and learned how traders use it to analyze sector strength, monitor market sentiment, and identify potential opportunities.